IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V

Item No.-103

CP (CAA) No.-67/230/232/ND/2022(2nd Motion)

IN THE MATTER OF:

Venus Management Consultants Pvt. Ltd. With Crawford Securities Pvt. Ltd. **....Applicant**

SECTION

U/s 230-232 **Order delivered on 24.08.2023**

CORAM:
SHRI MAHENDRA KHANDELWAL,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

Order pronounced in open court vide separate sheets. CP (CAA) No.-67/230/232/ND/2022(2nd Motion) is **allowed.**

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (T)

Sd/-
(MAHENDRA KHANDELWAL)
MEMBER (J)

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – V
COMPANY PETITION NO. (CAA) – 67 (ND)/2022
CONNECTED WITH
COMPANY APPLICATION NO. 22 (ND)/2022

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF:

VENUS MANAGEMENT CONSULTANTS PVT. LTD.

...PETITIONER NO.1/TRANSFEROR COMPANY

AND

CRAWFORD SECURITIES PVT. LTD.

...PETITIONER NO.2/ TRANSFEREE COMPANY

Order Delivered On: 24.08.2023

CORAM:

SHRI MAHENDRA KHANDELWAL, HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	: Mr. Iswar Mohapatra, Adv.
For the Respondent	:
For the IT Dept	: Mr. Kunal Sharma, Sr. St. Counsel, Ms. Zehra Khan, Jr. St. Counsel, Mr. Sushrut Meena, Adv.
For the OL	: Ms. Hemlata Rawat, Mr. Ayushman
For the RD	: Ms. Shankari Mishra, Ms. Niharika Tanwar, Advs.

ORDER

PER: SHRI MAHENDRA KHANDELWAL, HON'BLE MEMBER (JUDICIAL)

1. The present Joint Petition is filed by the Petitioner Companies herein M/s VENUS MANAGEMENT PVT. LTD. (Transferor Company /Petitioner No.1) and M/s CRAWFORD SECURITIES PVT. LTD. (Transferee Company/Petitioner No. 2) under Section 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation of the Transferor Company with M/s CRAWFORD SECURITIES PVT. LTD. (Transferee Company/Petitioner No. 2). The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.
2. The Transferor Company/Petitioner No. 1 i.e M/s Venus Management Consultants Pvt. Ltd. is a private limited company incorporated on 08.03.2010 under the provisions of the Companies Act, 1956 vide CIN: U74140DL2010PTC361625, having its registered office situated at Plot No. 105, Block-A, Wazirpur Group IND Area, New Delhi North West DL 110052. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company is Rs. 2,00,000/- divided into Rs. 20,000 Equity Shares of Rs. 10/- each. The paid-up share capital of the Transferor Company is Rs. 2,00,000/- divided into 20,000 Equity Shares of Rs. 10/- each.
3. The Transferee Company/ Petitioner Company No. 2 i.e. M/s Crawford Securities Pvt. Ltd. is a private limited company incorporated on 26.05.1995 under the provisions of the Companies Act, 1956 vide CIN: U67100DL1995PTC346878, having its registered

office at Plot No. 105, Block-A, Wazirpur Group IND Area, New Delhi North West DL 110052. Thus, the registered office of the Transferee Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferee Company is Rs. 1,85,00,000/- divided into 18,50,000 Equity Shares of Rs. 10/- each. The paid-up share capital of the Transferee Company is Rs. 1,83,39,000/- divided into 18,33,900 Equity Shares of Rs. 10/- each.

4. The Petitioner Companies submit that the proposed scheme of amalgamation of the Transferor Company and Transferee Company would have the following benefits:

   i. The Amalgamation will enable the transferee company to integrate its business operations and provide impetus to the operations of the transferee company. The consolidation of the activity by way of amalgamation will provide seamless access to assets of the transferor company which will lead to synergy of operation, reduction of overheads including administrative, managerial and other expenditure, operational rationalization, organizational efficiency and optimal utilization of resources;

   ii. Significant reduction in the multiplicity of legal and regulatory compliances required at present for both the Companies;

   iii. Improved organizational capability and leadership arising from the pooling of human capital who have the diverse skills, talents and vast experience to compete successfully in an increasingly competitive industry;

   iv. The Scheme will culminate into single effective entity, which will be able to execute objects more efficiently without any constraint to achieve better results. It will also economize resources and energy and eliminate duplicacy;

v. Greater efficiency in cash management of amalgamated entity and unfettered access to cash flow generated by the combined entity which can be deployed more efficiently fund organic and inorganic growth opportunities to maximizing shareholders value.

5. The appointed date as fixed for the proposed scheme of Amalgamation is 1st April, 2021 or such other date as may be directed by this Tribunal.

6. From the records, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)22/ND/2022. Vide order dated 30th May, 2022, the meetings of Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner No. 1 and Petitioner No.2 were dispensed with.

7. The Tribunal directed the petitioner companies to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies NCT of Delhi and Haryana, and (iv) Official Liquidator.

8. The Petitioner Companies were also directed to carry out publication in the newspapers. It is seen from the records that the petitioners have filed an Affidavit affirming compliance and disclosing that the applicants have effected publication in "Business Standard" (English, Delhi edition) edition as well as "Business Standard" (Hindi, Delhi edition), both dated on 09.07.2022. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator, the Income Tax Department, Registrar of Companies, NCT of Delhi and Haryana, the Reserve Bank of India and to the other relevant sectoral regulators.

9. Pursuant to the notice issued to the Regional Director and Official Liquidator, they have filed their response/reply in the matter.

10. The Regional Director (RD) in its report dated 28.12.2022 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies. The Petitioner Companies had filed reply dated 14.01.2023 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarification and undertaking to address the observations made by the Regional Director. The details of the same are summarised below:

Observation of the Regional Director vide report dated 28.12.2022	Reply of the Petitioner Companies vide reply dated 14.01.2023
i. As per the Audited Financial Statement of the Transferee Company for the F. Y.2021-22, it is seen that that company has shown interest income in under the head' Revenue from operation'. Hence, it apparently shows there is wrong classification of the revenue. So, company may be asked to clarify the same. ii. As per audited financial statements of the Transferor Company for the F.Y 2021-22, it is seen that the Company has nil revenue from its operation since last two years. Hence the company is dormant u/s 455 of the Companies Act, 2013. iii. In the Scheme as per Clause no. 4 it is mentioned that the scheme will be effective from the effective date. However, it is mentioned in clause no. 19 that the scheme will be effective from the appointed date. Hence, there is a contradiction in clause no. 4 & 9 of the scheme. Hence, company be asked to comply section 232(6) of the Companies Act, 2013. iv. As per audited financial statements of the Transferee Company for the F.Y. 2021-22, it is seen that the company has shown securities premium balance of Rs. 49,00,000/- in notes no. 4. However, in respect of these securities premium balance no e-form PAS-3/form2 has been filed with MCA-21. So, the company may be asked to be clarify the same. v. The Transferee company is directed to comply with the provisions of Section 232 (3) (i) of the Companies Act, 2013 regarding fee payable of its revised Authorized Share Capital.	As per MCA General circular no. 9/2019 dated 21.08.2019, the justification is as follows: i. Transferee Company i.e M/s Crawford Securities Private Limited has Interest Income as main source of income since last three or four years. Interest income earned on loan and advances given out of available funds of the Company's Funds. Hence, the interest income was treated as "income from operation". As there is no other income, the company shown the interest income under head Revenue from Operation. It is submitted that this is merely an accounting assumption, and nobody is adversely affected with this accounting treatment. ii. Transferor Company i.e. M/s Venus Management Consultants Private Limited, is holding company of M/s Crawford Securities Private Limited has also earned interest income in last two years and same was shown as other income in audited financial statement. Further, we are in process to merge the same with M/s Crawford Securities Private Limited since 2019. Our Previous Application for Scheme of Amalgamation was rejected by Hon'ble NCLT on 15. 10.2019 on the ground of default in appearance. The Applicant again file a fresh Application for merger in pursuance of an order passed by Hon'ble NCLAT on 04.12.2019 within one week from the order of Hon'ble NCLAT. But the Applicant was advised to withdraw the Application and apply for restoration of the application, but in doing so there was a delay of 15 days in filing the application. The said delay was neither intentional nor deliberate rather it can be condoned and on the ground of this delay, our application was dismissed vide order dated

	17.03.2020. Copy of Order dated 17.03.2022 is enclosed. After that the merger process could not restarted because of outbreak of COVID-19 up to end of 2021 and present Scheme of Merger was filed during February, 2022. iii. In the Scheme of Merger there is clerical mistake in Clause-19 of the Scheme. In first line of clause 19, word appointed date is wrongly mentioned in place of effective date. It is submitted that this is merely a typographical error and nobody is adversely affected by virtue of this clerical error. iv. With regard to Point No 4 regarding the Securities Premium Balance in Balance-sheet of Transferor Company M/s Venus Management Consultants Pvt. Ltd. in FY 2021-22 showing Rs. 49,00,000/-. The Share was allotted on 31.03.2010 to three Allottee (Body Corporate) which was ranked parri passu to the existing shares. The same allotment was duly filed through Form 2 SRN No. B07228430 on dated 07.03.2011, Copy of which enclosed. v. The transferee company undertakes to comply with provision of Section 232 (3) (i) of the Companies Act, 2013 for revise authorized capital.

11. The Official Liquidator has filed its report dated 20.10.2022, wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the affairs of the transferor company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

12. The Income Tax Department has submitted its report dated 10.08.2022 wherein it was mentioned that some nominal demands were payable. Further, the Counsel for the Petitioner also appeared before us on 24.05.2023 and stated that the said demand has already paid and the copy of the challan for the demand has also been filed.

13. Considering the reply of the Petitioner Companies and further, the undertaking of the Petitioner Companies with respect to the observations and clarifications, we find no impediment in approving the present scheme of amalgamation.

14. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

15. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

16. The shareholders of the petitioner companies are the best judges of their interest, being fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies as approved by shareholders and creditors.

17. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all

concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

18. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

(i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

19. This tribunal further directs with respect to all the Transferor company and the Transferee company, that:

(i) The Appointed Date as fixed for the proposed Scheme of Amalgamation is 01.04.2021 or such other date as may be directed by this Tribunal. In view of the fact that accounts are to be drawn and audited annually and the time taken in disposal of the instant application, this Tribunal deems it fit to fix the Appointed Date as 01.04.2023.

(ii) Upon the sanction becoming effective from the appointed date i.e. 01.04.2023 as prescribed by this Tribunal, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(iii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

20. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

21. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

22. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (TECHNICAL)

Sd/-
(SH. MAHENDRA KHANDELWAL)
MEMBER (JUDICIAL)